With the Russia-Ukraine war still raging, various agencies predict more trouble for the global economy and India.

Food and fuel prices have been major contributors to the high inflation. Food and beverages inflation was 8.4 per cent in September, with vegetables showing 18.05 per cent inflation, spices 16.9 per cent and cereals 11.5 per cent. Weather extremities have been cited as a reason for the high food prices. A heat wave across north India in March hit the wheat crop, and despite a ban on its export, prices have risen 19 per cent. Data from the Food Corporation of India shows that India's wheat inventory, at 22.75 million tonnes as on October 1, has plumbed a six-year low. Moreover, the monsoon has not been uniform across the country. Rice production this year, say experts, could be 6 per cent less than last year. The government will have to procure rice aggressively for the free food programme that will continue till December. This could lead to a shortage in the open market, pushing prices up.

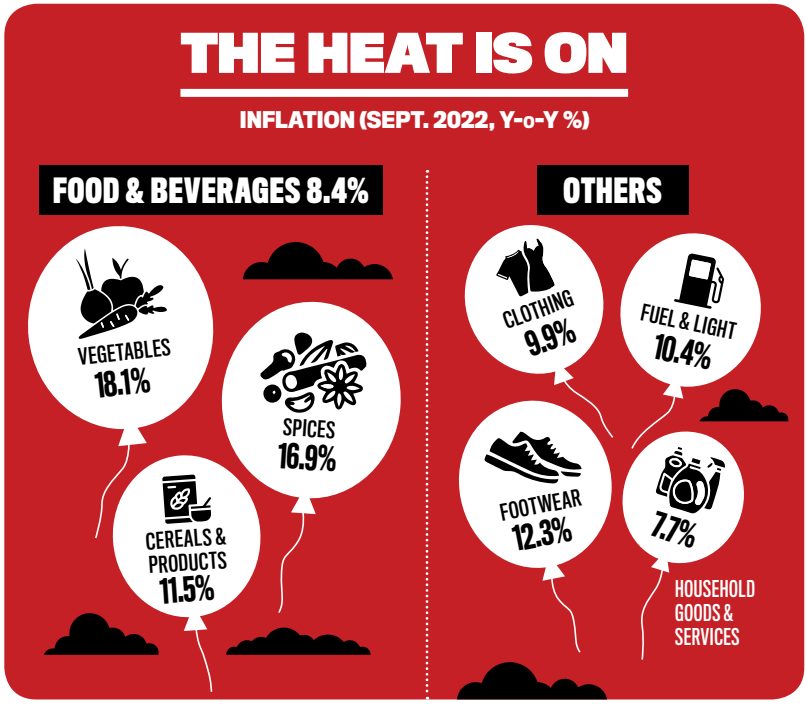
A delayed monsoon withdrawal and uncharacteristically heavy rains in October are threatening to damage crops ahead of the harvest season. "Decades-old rainfall trends are changing," Pranjul Bhandari, chief India economist, HSBC, wrote in a recent media article. "Monsoon rains have become more volatile, deviating much more from normal than before, even as the number of episodes of unseasonal rains has risen." Meanwhile, prices of a wholesale basket of goods, or wholesale price inflation (WPI), were 10.7 per cent for September, lower than the 12.41 per cent in August, largely due to the higher base last year.

Manufactured goods are seeing 7 per cent inflation—both household goods and personal care items had inflation rates of 7.7 per cent and 6.8 per cent, respectively. Inflation figures for clothing and footwear, as well as fuel and light, both hovered around 10 per cent. Inflation in consumer goods was high as companies passed on the higher cost of inputs incurred last year and early this year to consumers. "Household goods and personal care products actually saw rising prices in the beginning of this year. Those inflation numbers will remain on a higher trajectory," says Madan Sabnavis, chief economist at the Bank of Baroda. "In WPI, the paradox is because of the base effect. So, inflation will be on a higher trajectory in CPI, but may not be coming through in WPI."

Fuel inflation has been another worry. Although fuel prices have been stable of late, the lower base last year amplified them this year. Going forward, experts expect a sharp increase in prices of vegetables and pulses. Inflation in edible oil prices has been marginal and driven by global factors. India imports as much as 60 per cent of its edible oil requirements. Experts expect the country's CPI inflation to remain in the bracket of 6.75-7 per cent for the next two months.

There isn't much RBI can do at this point. Rate hikes will not directly bring down food prices. Fuel inflation will cool off if crude oil prices remain sub-$100 a barrel, but much will depend on the progress of the Russia-Ukraine war. Moreover, a harsh winter can drive crude prices up. The global experience, exemplified by the US, has shown that rate hikes cannot rein in runaway inflation. The RBI can bring down the prices of manufactured goods, but only by slowing down economic activity. In fact, minutes of the September meeting of its Monetary Policy Committee show that two members—Ashima Goyal and Jayant Varma—preferred a tapering-off of the rate-hike cycle. "Interest rate is just one part of the policy. A large part is also in the Centre's hands," says Sabnavis. "When you increase the number of products under GST, you directly add to inflation. You can bring down inflation by doing more on indirect taxes."

Another way is to cut duties on fuel further to make them cheaper. Bhandari says that the RBI may have to experiment with new techniques such as raising rates earlier in the cycle to avoid too much "cumulative tightening" or raising interest rates in one go. She also suggests having a coordinated institutional framework to navigate the increasing volatility caused by the vagaries of the weather. ■



(Source: MOSPI)